

# MU HEALTH CARE DTE OPPORTUNITY PROPOSAL

OPPORTUNITY REVIEW

---

Prepared by Derek Moore  
VP of DTE Networks  
February 19, 2026



## EXECUTIVE LETTER

Dear MU Health Care Leadership Team,

On behalf of Key Benefit Administrators, I am pleased to present this partnership proposal. With almost 50 years of experience, KBA today is the nation's largest, privately-held TPA. We are proud of our track record of providing exceptional health plan management to the self-funded industry, helping health systems successfully launch and manage direct-to-employer (DTE) health plans since 2016.

At Key Benefit Administrators, we are committed to being part of the solution for systemic healthcare challenges. Our approach centers on transparent cost administration, ensuring benefits are completely free from 'shared savings,' 'spread pricing,' and other practices that divert money away from patient care. We also believe integrity and core principles are central to strong healthcare systems, which is why we have never participated in reference-based pricing or similar practices.

Our decade of DTE experience has taught us that having the right market partner is critical to success. We actively market and sell our partners' healthcare services, understanding that their reputation forms the foundation of plan success. For this reason, we carefully research and vet every potential partner, often turning down health systems that lack the necessary market reputation or access.

MU Health Care stands apart as one of the very best positioned health systems regionally to support its own health plan. We would be honored to partner with MU Health Care and are confident in the plan's success. We look forward to discussing how our partnership can deliver exceptional value to the employers and employees you serve.

Sincerely,

**Derek Moore**

Executive Vice President, DTE Networks  
Key Benefit Administrators

# WHY KEY BENEFITS?



- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
  - 3,000+ Corporate Clients
  - 3 Million Members under Management
  - 700 Employees



MARKET  
LEADER  
IN  
PRIVATE  
LABELED  
DTE PLANS

# PROJECTED GROWTH DETAILS

D G R O W

| Year | Employees | Members | Percent of Members Choosing MU Healthcare for Inpatient Care | Percent of Members Choosing MU Healthcare for Outpatient Care |
|------|-----------|---------|--------------------------------------------------------------|---------------------------------------------------------------|
| 1    | 500       | 900     | 80%                                                          | 70%                                                           |
| 2    | 900       | 1,600   | 80%                                                          | 70%                                                           |
| 3    | 1,500     | 2,700   | 85%                                                          | 75%                                                           |
| 4    | 2,300     | 4,100   | 85%                                                          | 78%                                                           |
| 5    | 3,300     | 5,900   | 86%                                                          | 79%                                                           |
| 6    | 4,500     | 8,100   | 86%                                                          | 79%                                                           |
| 7    | 5,900     | 10,600  | 86%                                                          | 80%                                                           |
| 8    | 7,600     | 13,700  | 86%                                                          | 80%                                                           |
| 9    | 9,500     | 17,100  | 86%                                                          | 80%                                                           |
| 10   | 11,600    | 20,900  | 87%                                                          | 81%                                                           |
| 11   | 13,700    | 24,700  | 87%                                                          | 81%                                                           |
| 12   | 15,800    | 28,400  | 87%                                                          | 82%                                                           |
| 13   | 17,700    | 31,900  | 87%                                                          | 82%                                                           |
| 14   | 19,400    | 34,900  | 87%                                                          | 82%                                                           |
| 15   | 20,900    | 37,600  | 87%                                                          | 83%                                                           |
| 16   | 22,100    | 39,800  | 88%                                                          | 83%                                                           |
| 17   | 23,000    | 41,400  | 88%                                                          | 83%                                                           |
| 18   | 23,800    | 42,800  | 88%                                                          | 84%                                                           |
| 19   | 24,300    | 43,700  | 88%                                                          | 84%                                                           |
| 20   | 24,700    | 44,500  | 88%                                                          | 84%                                                           |

| Target Member Growth          |         |         |          |          |
|-------------------------------|---------|---------|----------|----------|
| Metric                        | Year 1  | Year 2  | Year 3   | Year 4   |
| Number of Members             | 800     | 1,700   | 2,700    | 4,100    |
| Incremental Margin            | 418.2K  | 892.1K  | 1,746.7K | 2,895.8K |
| Network Access Fee            | 9.6K    | 20.4K   | 32.4K    | 49.2K    |
| Implementation Fee (One-Time) | -150.0K | 0.0K    | 0.0K     | 0.0K     |
| Sales and Marketing Costs     | -180.0K | -180.0K | -180.0K  | -180.0K  |
| Net Margin Change             | 97.8K   | 732.5K  | 1,599.1K | 2,765.0K |

# COSTS AND PROFITABILITY

## Plan Set-Up Fees

Plan and network creation, registration, marketing, sales, branding and launch.

## Yearly Sales Fees

Two dedicated sales leaders and ongoing sales/marketing support.

|                         |        |
|-------------------------|--------|
| Year 1 Costs (one time) | \$150K |
|-------------------------|--------|

|                   |        |
|-------------------|--------|
| Yearly Sales Cost | \$180K |
|-------------------|--------|

Key Benefit Administrators does not charge health systems for plan administration, network management, patient credit cards, Key Incentive Plan administration, Epic integration, administrative reporting, or partnership consulting.

## YEAR 4 MODELED P&L

| Pre-DTE Cohort of 4,100 Employees | Inpatient    | Outpatient    | Professional | Total         |
|-----------------------------------|--------------|---------------|--------------|---------------|
| Revenue†                          | \$ 7,767,266 | \$ 10,581,855 | \$ 4,941,636 | \$ 23,290,757 |
| Net Income‡                       | \$ 1,802,006 | \$ 2,454,990  | \$ 1,146,460 | \$ 5,403,456  |

| With DTE    | Inpatient     | Outpatient    | Professional | Total         |
|-------------|---------------|---------------|--------------|---------------|
| Revenue°    | \$ 10,351,020 | \$ 17,184,506 | \$ 8,025,018 | \$ 35,560,544 |
| Net Income* | \$ 2,401,437  | \$ 3,986,805  | \$ 1,861,804 | \$ 8,250,046  |

† Assuming proportional revenues from market shares of 64% (inpatient) and 48% (outpatient)

‡ Conservatively assuming a commercial margin of 23.2% (80% of the estimated commercial margin)

° Assuming 85% inpatient and 78% market steerage based on KBA narrow network DTE experience

\* Conservatively assuming a commercial margin of 23.2%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member credit card.

|                                              |              |
|----------------------------------------------|--------------|
| Total Increase in Net Income                 | \$ 2,846,591 |
| Network Access Fee (Revenue) of \$1 PMPM     | \$ 49,200    |
| Total Profit Growth                          | \$ 2,851,391 |
| Minus Implementation Fee (One-Time)          | -\$ 0        |
| Minus Sales and Marketing (Annual – Ongoing) | -\$ 180,000  |
| Total                                        | \$ 2,715,791 |

### Early Stage

Gaining Name Recognition, Early Growth  
Years 1-5

### Growth Stage

Strong Reputation, Strong Growth  
Years 6-15

### Mature Stage

High Profitability, Market Saturation  
Years 15+

New Revenue:  
**\$6.3M**

New Profit:  
**\$1.31M**

New Revenue:  
**\$38.36M**

New Profit:  
**\$9M**

New Revenue:  
**\$79.02M**

New Profit:  
**\$18.7M**





# YOUR PARTNER TO REVOLUTIONIZE MISSOURI HEALTHCARE

